COVER SHEET

1 0 0 4 4
SEC Registration Number

PHILEX MINING CORPORATION
(Company's Full Name)

2nd Floor, LaunchPad, Reliance corner Sheridan Streets, Mandaluyong City, Metro Manila
(Business Address: No. Street City/Town/Province)

ROMEO B. BACHOCO
(Contact Person)

(632) 8631-13-81
(Company Telephone Number)

1 2 **3 1**
Month *Day*
(Calendar Year)

1 7 - Q
(Form Type)

Month *Day*
(Annual Meeting)

Not Applicable
(Secondary License Type, If Applicable)

Dept. Requiring this Doc.

Not Applicable
Amended Articles Number/Section

Total Amount of Borrowings

Total No. of Stockholders

Domestic

Foreign

To be accomplished by SEC Personnel concerned

File Number

LCU

Document ID

Cashier

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SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

For the quarterly period ended September 30, 2025

Commission identification number 10044

BIR Tax Identification No. 000-283-731-000

Exact name of issuer as specified in its charter

PHILEX MINING CORPORATION

Province, country or other jurisdiction of incorporation or organization

Manila, Philippines

Industry Classification Code: **(SEC Use Only)**

Address of issuer's principal office **Postal Code**

2nd Floor, LaunchPad, Reliance Street corner Sheridan Street, Mandaluyong City, Metro Manila, Philippines 1550

Issuer's telephone number, including area code

(632) 8631-1381 to 88

Former name, former address and former fiscal year, if changed since last report

N/A

Securities registered pursuant to Sections 8 and 12 of the Code or sections 4 and 8 of the RSA

Number of Shares of Stock Outstanding – 5,782,399,068 (As of September 30, 2025)

Amount of Debt Outstanding – Php17,374,783,000 (As of September 30, 2025)

Are any or all the securities listed on a Stock Exchange?
Yes [X] No [ ]

If yes, state the name of such Stock Exchange and the class/es of securities listed therein:
Philippine Stock Exchange

Indicate by check mark whether the registrant:

has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)

Yes [X] No [ ]

has been subject to such filing requirements for the past ninety (90) days.

Yes [X] No [ ]

PART I - FINANCIAL INFORMATION

Item 1. Financial Statements.

The Unaudited Consolidated Financial Statements for the period ended September 30, 2025 are hereto attached.

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations.

Status of Operations

Padcal Operation

Since 1958, the Company has been operating the Padcal Mine in Benguet Province, Island of Luzon, Philippines, employing the underground block cave mining method, and producing copper concentrates containing gold, copper, and silver. This has been the primary source of revenue of the Company for over six decades.

On December 7, 2022, the life of Padcal Mine was extended for another three years to December 31, 2027 following the previous extension approved in June 2021 for the extended life for two years up to December 31, 2024 due to additional reserves from mineral resources delineated around the identified mining level. On the other hand, the extension to 2027 was finalized after the completion of confirmatory drillings on the ore body, technical studies on the mining methodology and Tailings Storage Facility (TSF) No. 3, leading to the successful identification of additional mineable reserves feasible for mining up to December 31, 2027.

On December 6, 2024, the Padcal Mine life was further extended for another year to December 31, 2028. On top of the mineable reserves declared for the 2027 mine life, additional tonnage from the mining of pillars at the 760-ML Production Level with good grades, and tonnage from previously developed draw points beyond one hundred percent extraction, also with good grades, led to the extension of the mine life to December 31, 2028. Price sensitivity analyses were applied on the remaining reserves, which further confirmed the economic viability of extending the mine life.

Maintaining Padcal operations ensures a smooth transition to the Silangan Project which is estimated to begin commercial operations following first metal production in the first quarter of 2026. This aligns with rising global demand for green metals and government initiatives promoting mineral resources development for economic growth and recovery.

Regulatory

In 2025, both the government and the private sector in the mining industry, working together, ushered in the new year with a resolve to: improve the process for mining permits and applications by cutting red tape and streamlining identified bottlenecks; enhance the mining fiscal regime by increasing government share without impeding business profit; and aligning mining operations and social development with global sustainability standards — all with the end-view of increasing mining projects and production as well as investor interest, both from here and abroad.

In the first half of the year, the Senate took up the enhanced mining fiscal regime bill which was approved on third and final reading at the House of Representatives and, thus, transmitted to the august body. Senate Bill No. 8937 was also passed on third and final reading by the Senate and was reviewed by the bicameral committee. Substantial inputs to this bill have been provided by various stakeholders, including Philex. The bone of contention at the bicameral conference committee was on the provision Included in the Senate bill that mandated a five-year grace period before the implementation of a mineral export ban. This was in line with the President's desire for mineral processing to commence in the country. In the end, however, the export ban provision was removed, and the bill was signed into law by the President in September 2025.

The Bureau of Internal Revenue (BIR) is currently in the process of crafting the Implementing Rules and Regulations (IRR) of Republic Act No. 12253, the new Enhanced Fiscal Regime for Large-Scale Metallic Mining Act. Philex has once again been called upon to be part of this effort.

In February 2025, Department of Environment and Natural Resources (DENR) Secretary Maria Antonia Yulo Loyzaga signed a new department administrative order (DAO 2025-10) providing guidelines on the integration of United Nations' 17 Sustainable Development Goals (UN SDGs) in the formulation and implementation of the Social Development and Management Programs (SDMPs).The current SDMP implementation of the Company aligns with this administrative order.

In May 2025, DENR Secretary Yulo Loyzaga issued Department Administrative Order No. 17, series of 2025 (DAO 25-17) which amended certain provisions of the implementing rules and regulations (DAO 10-21) of the Philippine Mining Act of 1995 (Republic Act No. 7942), providing for streamlined procedures in the processing of applications for Exploration Permit (EP), Mineral Production Sharing Agreement (MPSA), and Financial or Technical Assistance Agreement (FTAA).

By June 2025, the DENR welcomed a new Secretary in the person of the then incumbent Energy Secretary, lawyer Raphael Lotilla.

Silangan Project

SMECI, through SMMCI, completed the acquisition of the Silangan Copper and Gold Project ("Silangan Project") situated in Surigao del Norte, Northeastern Mindanao in 2010. The Silangan Project is considered one of the current three large scale projects seen in the country to become a major copper producer. Its tenements consist of two main ore deposits – Sta. Barbara I (formerly Boyongan) and Sta. Barbara II (Bayugo).

The Sta. Barbara I ore deposit is wholly owned by SMMCI and will be developed as Phase 1 of the Silangan Project. The Sta. Barbara II ore deposit will be developed as Phase 2, consisting of Sta. Barbara II-Silangan deposit, as Phase 2A, and Sta. Barbara II-Kalayaan deposit as Phase 2B. The Sta. Barbara II-Silangan, Phase 2A, is wholly owned by SMMCI while the Sta. Barbara II-Kalayaan, Phase 2B, is under a farm-in agreement with Manila Mining Corporation, and its subsidiary, Kalayaan Copper Gold Resources, Inc. ("Kalayaan") and Philex Mining, where Philex Mining currently holds 5% interest in Kalayaan and the option to further increase its stake up to 60%.

In July 2019, SMMCI approved the definitive feasibility study (DFS) prepared by its consultants, Ausenco Pty Ltd of Australia, for an underground sub-level cave mining method for the Silangan Project yielding 81 million tonnes (Mt) high-grade copper and gold ore reserves out of 279 Mt of mineral resource estimates for the Sta. Barbara I ore deposit containing high-quality copper and gold grades. Including the Sta. Barbara II deposit, the Project's total mineral resource is estimated to be 571 Mt.

Also, in July 2019, the Silangan Project was granted an Environmental Compliance Certificate (ECC) for underground sub-level cave mining method. Following the grant of ECC, the Department of Environment and Natural Resources (DENR), through the Mines and Geosciences Bureau (MGB), in a letter dated September 26, 2019, has approved the underground sub-level cave mining method amending the previously issued Order dated April 10, 2015 approving the Declaration of Mining Project Feasibility (DMPF) of the Silangan Copper-Gold Project under MPSA No. 149-99-XIII.

The approved DMPF for underground sub-level cave mining method includes the approved Three Year Development and/or Utilization Work Program (3YD/UWP), the Environmental Protection and Enhancement Program (EPEP), Final Mine Rehabilitation and Decommissioning Plan (FMRDP) and Social Development and Management Program (SDMP). A revised 3YD/UWP covering three years was submitted to the MGB Central Office in October 2021.

In December 2020, the DENR approved the renewal for another 25-year term of MPSA No. 149-99-XIII. The additional 25-year term shall commence from December 29, 2024 subject to the same terms and conditions provided under the MPSA and the applicable laws, rules and regulations that are existing or may be promulgated and the continuing compliance therewith from the date of the DENR's order up to the expiration of the initial term of MPSA No. 149-99-XIII.

In July 2021, the Board of Directors (BOD) of the Parent Company and SMMCI approved the In-Phase Mine Plan execution strategy of the Silangan Project. With the plan, the capital expenditure requirement will be made in stages, and to be funded from a variety of potential investors including internally-generated cash and through equity and debt financing.

In January 2022, the Company completed the In-Phase Mine Plan feasibility study and updated the mineable reserve estimate for the Sta. Barbara I deposit in accordance with the 2012 Philippine Mineral Reporting Code ("PMRC"). Under the In-Phase Mine Plan, Silangan is expected to commence operation with a starter underground sub-level cave mine using copper and gold leaching processes with ore production of 2,000 tonnes per day or about 700 thousand tonnes per year for the first 5 years, then ramp up to 4,000 tonnes per day or 1.3 million tonnes (Mt) per year up to year 8. Starting year 9 when copper flotation circuit will be added to the process plant, ore production and processing rates will further increase to 8,000 tonnes per day or 2.7 Mt per year before the final ramp up to 12,000 tonnes per day or 4 Mt per year on year 12. Based on the study, the life of mine for the Sta. Barbara I deposit under Phase 1 is 28 years with estimated total mineable reserves of 81 Mt at 0.67% copper and 1.13 grams per tonne gold, containing estimated metals of 2.8 million ounces of gold and 993 million pounds of copper.

Project Funding

The capital to develop the starter mine over 2.5 years was estimated at US$245 Million (from initial estimate of US$224 Million in the DFS). The funding of the initial capital is a combination of additional equity from Philex Mining through proceeds from its Stock Rights Offering (SRO), internally generated cash, and long-term debt. The SRO was completed by Philex Mining with the listing of the 842 million shares on August 3, 2022. A total of Php2.65 billion was raised from the Philex SRO, the net of which amounting to Php2.58 billion has been invested by Philex Mining in early October 2022 into the Silangan Project under Silangan Mindanao Mining Co., Inc., (SMMCI) through Silangan Mindanao Exploration Co. Inc. (SMECI). In February 2024, the Company completed the debt syndication exercise with the signing of the Omnibus Loan and Security Agreement in November 2023 for the US$100Million credit facility, with BDO Capital and Investment as mandated lead manager, and the Deed of Accession in February 2024 for the US$70Million credit facility with SB Capital as mandated lead arranger. The debt syndication was participated by the Bank of the Philippine Islands, Philippine Bank of Communications, Philippine National Bank, Security Bank Corporation and Union Bank of the Philippines. The signing of the loan agreements paved the acceleration of the development works of the Silangan Project.

Project Development Execution

The Front-End Engineering and Design (“FEED”) works for the mine, process plant and tailings storage facility were completed in the third quarter of 2022. Excavation and earthmoving works for the mine boxcut started in 2022, and by April 30, 2023, the stabilization of the “benches” or slope was completed. Further, the construction of the East Portal canopy was completed in March 31, 2023. The completion of the boxcut and the portal ushered in the development of the main access decline to the orebody starting May 1, 2023 and was completed upon reaching chainage 559 meters end September 2024. Meanwhile, the construction of the West Portal was completed on August 31, 2023 and will be used as additional access to the ore body in year 2031. The construction of the ventilation exhaust shaft started in May 2024 and was completed in March 2025.

The main decline and the exhaust shafts will provide fresh air flow, remove the contaminated air and lower the heat and humidity of working in the underground mine for the initial period of the mine. The Main decline and crosscut to RL 95 production level were completed in December 2024. Mine development works are now progressing production drifts and perimeter of RL 95. The decline to the next mining level RL 70 is also being advanced. Ore extracted from these mine development work areas are being stockpiled on the surface bringing total stockpile to 66,000 mt level including ore from the old decline - OCD as at end October 2025. The assay results of the samples taken from the production drift 5 at L95 confirm the presence of high grade minerals as defined in the 2019 PMRC-compliant Technical Report.

Drilling of 10 additional dewatering wells, one geotech hole to de-risk spiral decline location and additional 14 hydro monitoring holes drilling were completed in March 2023. The 12 dewatering wells were all commissioned in September 2024. The dewatering activities continue at the existing old decline via face pumping and pumps installed at the existing ventilation shaft and service borehole as part of the risk mitigation procedure.

Ausenco Services Pty Ltd, from Brisbane Australia, was awarded the scope of engineering, procurement, and construction management and commissioning support contract in January 2024 for the copper leaching-gold leaching process plant. The bulk earthworks for the process plant have been tendered and was awarded in the first quarter of 2024. Galeo Equipment Corporation completed the bulk excavation of the process plant pad in September 2024.The tender process for the general contractor of the process plant started in February 2024 and was completed in July 2024 with the awarding to EEI Corporation ("EEI") as the winning bidder. Development works started with the civil works that included works on the foundation of the process plant major equipment. The sourcing of the equipment packages of the process plant had been completed and major long lead equipment arrived on site within schedule. Other equipment packages from suppliers located in different countries are in various stages of completion and are delivered in the mine site as they become available. EEI is currently working on the SAG Mill, crusher plant, copper leaching, gold leaching, tailings thickening and raffinate, gold reagents, electrowinning, solvent extraction, limestone grinding plant, utilities and services, acid storage areas and clean water tank area. Overall progress of Process Plant construction is at 70% by the W3 of October 2025. The installation of the SAG Mill, a major equipment of the process plant commenced in March 2025 and was substantially completed in May 2025. The remaining works will be done once power from the grid is online by January 2026. Main power supply infrastructures had been completed and will be connected to the grid by Q12025. Tendering and awarding process for the power supply provider was completed in October 2025.

The contract for the Tailings Storage Facility (TSF) construction was awarded to Galeo Equipment Corporation in February 2024. Construction of the main embankment is at 85% completion as of W2 of October 2025. The construction is based on the detailed design completed by Tetra Tech Coffey of Australia, SMMCI's consultant on TSF. The access to the TSF from the process plant has been established with the completion for the 6-km tailings pipeline road.

SMMCI has full control over the lands necessary for the first 5 years of operation and about 99% control over all lots for the 28 years of mine, including those under long-term leases.

The project is slated for initial production by the first quarter of 2026.

Project Timeline

		Status
Underground Mine		
	Main Decline / Tunnel	Completed in September 2024 at chainage 559m
	Mine Dewatering Down RL90	Completed in October 2024
	Main Ventilation Exhaust Shaft	Completed in March 2025
	Exhaust Tunnel	Completed in August 2025 – ahead of schedule
	Production Level – L95	Ongoing; 5 ore drives wiill be completed by January 2026. Encountered poor ground conditions which necessitated additional supports. Stockpiling development ore for initial feeding of the process plant for the scheduled commissioning.
Process Plant		
	Process Plant Pad Earthworks	Completed in September 2024
	Main Substation	Completed in March 2025
	Engineering	Completed in April 2025

	Procurement	100% critical mechanical and electrical equipment packages awarded; delivery in progress
	All-area Mechanical Completion	Ongoing for completion in January 2026
	Process Plant Commissioning	Start in December 2025 to produce first metal in 1Q2026
TSF Construction		Ready to receive tailings in January 2026 (even before Process Plant Ore Commissioning scheduled in February 2026)

Operational Overview

The Padcal Mine milled a total of 5,174,178 tonnes for the Nine Months ended September 30, 2025 (9M2025), 3% higher than the tonnage of 5,042,016 tonnes in the Nine Months ended September 30, 2024 (9M2024) as the Company has partially addressed the low availability of mine equipment with the arrival of three mine equipment from China. An additional three more new equipment from Sweden will be arriving towards the end of this year and early next year. The continuing improvement in the equipment maintenance program to gradually improve tonnage output. For the third quarter of 2025 (3Q2025), tonnage was at 1,771,466 tonnes, almost the same as the 1,770,074 tonnes in the third quarter of 2024 (3Q2024).

Even with the arrival of new mine equipment, Padcal continues to be faced with the unscheduled breakdowns of the the older mining equipments. To maintain a fleet of mine equipment with high mechanical availability, the Company will augment the current fleet of mining equipment with the acquisition of new additional eight (8) units to replace the old mining equipments. the older units to serve as backup in case of unexpected operating unit breakdown.

The resulting metal output, however, remained a challenge to operation as ore sourcing was limited from low ore grade blocks, coupled with unexpected low metal recovery due to inefficiencies experienced at the ageing mill plant. The need to recalibrate the mine development plan as a result of past challenges encountered on high ore grade blocks put pressure on the Company's strategy to mine from higher grade ore sources that was expected to improve metal output.

Gold production of 19,534 ounces for 9M2025 was 17% lower compared with 23,566 ounces in 9M2024 mainly due to lower gold grades that averaged at 0.171 grams per tonne (g/t) in 9M2025 against 0.203 g/t in 9M2024, despite higher tonnage. Gold production was down due to the impact of lower gold grades as well as lower metal recovery of 68.7% in 9M2025 versus 71.6% for 9M2024. For 3Q2025, gold production was 6,682 ounces, 14% lower than the 7,801 ounces in 3Q2024 due mainly to lower ore grades that averaged 0.168 g/t versus 0.195 g/t in 3Q2024 and lower metal recovery that averaged 69.8% versus 70.2% in 3Q2024.

Copper production for 9M2025 decreased by 3% to 14,303,767 pounds compared with the production for the 9M2024 of 14,752,732 pounds. The decrease was due mainly to lower ore grades that averaged at 0.164% in 9M2025 versus 0.171% in 9M2024, and lower metal recovery. Metal recovery for copper for 9M2025 averaged at 76.6% compared to 77.7% in 9M2024. For 3Q2025, copper production also decreased to 4,921,279 pounds compared with 4,950,835 pounds in 3Q2024 from ore grades that averaged 0.163% versus 0.165% in 3Q2024, and metal recovery that averaged 77.2% versus 76.9% in 3Q2024.

Review of Financial Results

Total operating revenues for 9M2025 amounted to Php6.557 billion, slightly lower than the revenues of Php6.628 billion reported in 9M2024 due to significantly lower metal production, and lower average realized price for copper, despite higher average realized price for gold and higher foreign exchange rates (Forex). Forex averaged at Php57.13 in 9M2025 compared with Php56.99 in 9M2024. After smelting charges, the net revenues amounted to Php6.278 billion for 9M2025, 3% higher than the Php6.099 billion in 9M2024.

Similarly, operating revenues for 3Q2025 were significantly higher by Php306 million or 14% at Php2.568 billion compared with Php2.262 billion in 3Q2024. The increase in revenues was mainly from higher realized gold prices and forex, fully offsetting the impact of lower metal output. Forex that has gone up from the previous quarter, also averaged higher at Php57.70 versus Php56.74 in 3Q2024. After smelting charges, the net revenues amounted to Php2.522 billion for 3Q2025, 19% higher compared with Php2.125 billion in 3Q2024.

The continuing upward trend of gold and copper prices in the 9M2025 with favorable Forex provided the Company a cushion against lower metal production brought about by the challenges experienced by Padcal Mine in its operations.

Copper

Copper production in 9M2025 slightly decreased to 14,303,767 pounds compared with the production of 14,752,732 pounds in 9M2024, due mainly to the 4% decrease in ore grade as well as slightly lower metal recovery, despite higher tonnage. Realized copper prices for 9M2025 averaged at US$4.28 per pound, 5% lower than the realized price of US$4.52 per pound in 9M2024 that resulted to lower copper revenues of Php3.430 billion compared with Php3.752 billion in 9M2024. The realized copper prices represented the average monthly prices either one month or two months prior to committed month of shipment up to July 2025 shipment under the previous offtake agreements, and the average monthly price one month after month of arrival of shipment at port of destination for the rest of the shipments in 3Q2025 as provided for under a recently approved offtake agreement. These price terms may not reflect the current copper spot price. With the operating challenges on production at the Padcal Mine, the copper concentrate shipment schedules were affected as against original commitment. The stable and strong copper prices have remained as Padcal's cushion against nonattainment of copper production targets. Copper accounted for 52% of total revenues for the period.

In 3Q2025, copper production was slightly lower at 4,921,279 pounds compared with 4,950,835 pounds for 3Q2024, due mainly to lower copper grades and metal recovery, despite tonnage slightly increasing compared with the performance in 3Q2024. Despite the short-term volatility of copper price, it continued to cushion revenues in 3Q2025 averaging US$4.43 per pound compared with US$4.21 per pound in 2Q2025 but lower than the US$4.59 per pound in 3Q2024. The realized copper prices represented the average monthly price two months prior to committed month of shipment for the July 2025 shipment under the previous offtake agreement, and the average monthly price one month after month of arrival of shipment at port of destination for the rest of the shipments in 3Q2025 as provided for under a recently approved offtake agreement. Despite the lower copper production and copper price in 3Q2025, copper revenues slightly increased at Php1.242 billion from Php1.218 billion in 3Q2024 on account of higher Forex and impact of prior-quarter adjustments from higher copper prices as against the previous quarter.

Gold

Gold production in 9M2025 was 17% lower at 19,534 ounces compared with 23,566 ounces in 9M2024 from the 16% decrease in ore grades and 4% decrease in metal recovery, despite higher tonnage. Gold price averaged at US$2,874 per ounce, 36% higher than the US$2,115 per ounce gold price realized in 9M2024. The strong gold price and Forex partially offset the impact of lower metal production resulting to gold revenues of Php3.120 billion, inclusive of hedging losses of Php89 million, 10% higher compared with Php2.823 billion in 9M2024. Without the impact of hedging loss, the realized price averaged at US$2,956 per ounce representing the average monthly prices either one month or two months prior to committed month of shipment up to July 2025 shipment under the previous offtake agreements, and the average monthly price one month after month of arrival of shipment at port of destination for the rest of the shipments in 3Q2025 as provided for under a recently approved offtake agreement. These price terms may not reflect the current gold spot price. The pricing was also affected by the operating challenges on production at the Padcal Mine that unfavorably moved the copper concentrate shipment schedules as against original commitment. Gold represented 48% of total revenues for 9M2025.

For 3Q2025, gold production was at 6,682 ounces, lower by 14% than the gold production of 7,801 ounces for 3Q2024 due primarily to the 14% decrease in ore grades and 1% in metal recovery, even with a slight increase in tonnage. Due to significantly higher realized gold prices, gold revenues for 3Q2025 was 30% higher by Php315 million at Php1.337 million from Php1.022 million in 3Q2024, despite lower gold production. No hedging gain or losses recognized in 3Q2025 as all gold collar hedging contracts expired as of September 30, 2025. The realized gold prices averaged at US$3,642 per ounce representing the average monthly price two months prior to committed month of shipment for the July 2025 shipment under the previous offtake agreement, and the average monthly price one month after month of arrival of shipment at port of destination for the rest of the shipments in 3Q2025 as provided for under a recently approved offtake agreement. The 3Q2025 realized gold price of US$3,642 per ounce jumped 45% from US$2,504 per ounce in 2Q2025, and an increase of 56% compared with US$2,336 per ounce in 3Q2024 which fully offset the negative effect of low gold output.

Silver

Revenues from silver amounted to Php8 million for 9M2025, significantly lower by 86% than the Php53 million in 9M2024, mainly from lower concentrate grade with shipments in 2Q2025 having grades of silver below the acceptable limit under the offtake agreements thus no value was assigned to silver pertaining to 2Q2025 copper concentrate shipments, with negative prior-quarter revenue adjustments recorded on top of revenues realized from shipments in 3Q2025, compared with Php22 million in 3Q2024.

Hedging Strategy

As part of the risk management strategy, the Company regularly monitors the prices of gold and copper in the world market as a basis of assessing the need to enter into hedging contracts to mitigate the risk of the potential impact of fluctuations of the metal prices to the Company's revenues. Based on the Company's outlook of the movement of gold and copper prices, the Company entered into collar and put option hedging contracts as follows:

For 2024, the following were the Company's hedging contracts covering the period from January to December.

2024 Gold Collar Hedge							
	Quantity	Gold Price (US$ per Ounce)			Period	Settlement	Realized
Deal Date	(Ounces)	Put	Call	Settlement	Covered	Date	Gain (Loss)

							(in Php M)
12/15/23	1,600	2,000	2,158	2,035	Jan. 2024	02/02/24	-
12/15/23	1,600	2,000	2,158	2,024	Feb. 2024	03/02/24	-
12/15/23	1,600	2,000	2,158	2,158	Mar. 2024	04/04/24	(0.02)
12/15/23	1,600	2,000	2,158	2,336	Apr. 2024	05/02/24	(16.3)
12/15/23	1,600	2,000	2,158	2,351	May 2024	06/02/24	(18.2)
12/15/23	1,600	2,000	2,158	2,326	June 2024	07/05/24	(15.8)
5/10/24	1,600	2,200	2,740	2,393	July 2024	08/02/24	-
5/10/24	1,600	2,200	2,740	2,468	Aug 2024	09/04/24	-
5/10/24	1,600	2,200	2,740	2.568	Sept 2024	10/02/24	-
5/10/24	1,600	2,200	2,740	2.690	Oct 2024	11/04/24	-
5/10/24	1,600	2,200	2,740	2,653	Nov 2024	12/03/24	-
5/10/24	1,600	2,200	2,740	2,644	Dec 2024	01/03/25	-
						Total	(50.3)

2024 Copper Collar Hedge							
Deal Date	Quantity (Pounds)	Copper Price (US$ per Pound)			Period Covered	Settlement Date	Realized Gain (Loss) (in Php M)
		Put	Call	Settlement			
5/10/24	992,079	4.40	4.84	4.26	July 2024	08/02/24	8.0
5/10/24	992,079	4.40	4.84	4.07	Aug 2024	09/04/24	18.6
5/10/24	992,079	4.40	4.84	4.20	Sept 2024	10/02/24	11.2
5/10/24	992,079	4.40	4.84	4.33	Oct 2024	11/04/24	4.2
5/10/24	992,079	4.40	4.84	4.12	Nov 2024	12/03/24	16.5
5/10/24	992,079	4.40	4.84	4.05	Dec 2024	01/03/25	20.3
						Total	78.9

As of December 31, 2024, there are no outstanding gold and copper contracts.

In January 2025, the Company entered into collar hedging contract for gold covering the period January to June 2025 with gold at 1,300 ounces of gold per month with strike price of US$2,550 per ounce for the put option and US$2,900 per ounce for the call option.

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2025 Gold Collar Hedge							
Deal Date	Quantity (Ounces)	Gold Price (US$ per Ounce)			Period Covered	Settlement Date	Realized Gain (Loss) (in Php M)
		Put	Call	Settlement			
01/10/25	1,300	2,550	2,900	2,708	Jan. 2025	02/02/25	-
01/10/25	1,300	2,550	2,900	2,896	Feb. 2025	03/02/25	-
01/10/25	1,300	2,550	2,900	2,982	Mar. 2025	04/04/25	(6.1)
01/10/25	1,300	2,550	2,900	3,210	Apr. 2025	05/04/25	(22.6)
01/10/25	1,300	2,550	2,900	3,279	May 2025	06/04/25	(27.5)
01/10/25	1,300	2,550	2,900	3,352	June 2025	07/24/25	(33.1)
						Total	(89.3)

In September 2025, the Company entered into collar hedging contracts for copper and put option contracts for gold covering the period October 2025 to March 2026. The terms agreed are as provided below:

October 2025 to March 2026 Copper Collar Hedge				
Deal Date	Quantity (Pounds)	Copper Price (US$/lb)		Period Covered
		Put	Call	
09/24/25	881,850	4.40	4.74	Oct. 2025
09/24/25	881,850	4.40	4.74	Nov. 2025
09/24/25	881,850	4.40	4.74	Dec. 2025

09/24/25	881,850	4.40	4.74	Jan. 2026
09/24/25	881,850	4.40	4.74	Feb. 2026
09/24/25	881,850	4.40	4.74	Mar. 2026

October 2025 to March 2026 Gold Put Option			
Deal Date	Quantity (Ounces)	Gold Price (US$/oz) Put Option	Period Covered
09/24/25	1,300	3,400	Oct. 2025
09/24/25	1,300	3,400	Nov. 2025
09/24/25	1,300	3,400	Dec. 2025
09/24/25	1,300	3,400	Jan. 2026
09/24/25	1,300	3,400	Feb. 2026
09/24/25	1,300	3,400	Mar. 2026

The premium for the gold put option contract amounted to US$17.10/oz for a total of Php7.7 million to be amortized over the six-month term of the hedge contract.

As of September 30, 2025, the unrealized hedging position reflected a Php4.2 million gain on outstanding gold contracts and a Php21.2 million loss on outstanding copper contracts.

Operating Costs and Expenses

The Company’s total operating costs and expenses (Opex), which included Production Costs, Excise Tax and Royalties, and Depletion, Amortization and Depreciation, and General and Administrative Expenses (G&A), slightly increased by 3% to Php5.498 billion for 9M2025 from Php5.358 billion in 9M2024 mainly from non-cash charges. Production Costs slightly increased by Php37 million to Php4.154 billion from Php4.117 billion mainly on account of higher labor costs, power and other expenses. Depletion, Amortization and Depreciation increased by 11% or Php71 million to Php731 million from Php660 million, primarily from the additional depreciation of recently acquired equipment, and amortization for additional costs incurred in maintaining the tailings storage facility as well as from higher tonnage. G&A also slightly increased by Php7 million to Php201 million from Php194 million, while revenue-related costs such as the Excise Tax and Royalties also increased on account of higher net revenues to Php413 million in 9M2025 from Php388 million in 9M2024.

Smelting Charges amounted to Php279 million for 9M2025, 47% lower than the Php530 million in 9M2024, due mainly to lower average treatment and refining rates (TCRC) in 1H2025, negative copper TCRC in 3Q2025 under the recently approved offtake contract, lower freight charges for copper concentrate shipments, and slightly lower copper concentrate production of 30,080 dry metric tons (DMT) in 9M2025 from 35,099 DMT in 9M2024.

For 3Q2025, total Opex increased by 4% or Php77 million at Php1.967 billion from Php1.890 billion in 3Q2024 mainly on account of slightly higher Production Costs that contributed Php23 million increase. Depletion, Amortization and Depreciation, Excise Tax and Royalties as well as G&A also increased by Php17 million, Php32 million and Php5 million, respectively. On the other hand, Smelting Charges for 3Q2025 substantially decreased by 67% or Php91 million at Php46 million from Php137 million due to lower production and negative copper TCRC under the recently approved offtake contract.

Break-even Costs - Costs Per Tonne / Per Ounce / Per Pound

Total production costs (including depletion, amortization and depreciation) on a per unit basis slightly decreased to Php944 per tonne (based on total production costs of Php4.885 billion) for 9M2025 from Php947 per tonne (based on total production costs of Php4.777 billion) in 9M2024. Despite higher production costs, Total Production Cost per Tonne decreased due to higher tonnage in 9M2025 as denominator to get the cost per tonne.

Total operating costs (consisting of total production costs, smelting charges, excise taxes, and royalties) also slightly decreased to Php1,078 per tonne in 9M2025 from Php1,129 per tonne in 9M2024. The decrease in cost per tonne was mainly attributable to higher tonnage and lower operating costs. Total operating costs for purposes of computing the break-even costs amounted to Php5.577 billion in 9M2025, lower compared with Php5.694 billion in 9M2024.

For 3Q2025, total production cost per tonne was higher at Php980 per tonne (based on total production cost of Php1.735 billion) as against Php958 per tonne (based on total production cost of Php1.695 billion). On the other hand, operating cost per tonne was lower at Php1,099 per tonne (based on total operating costs of Php1.947 billion) from Php1,111 per tonne (based on total operating cost of Php1.966 billion) in 3Q2024. Lower cost per tonne was realized for the third quarter on account of lower total Opex and higher tonnage as denominator to compute the cost per tonne.

The operating cost per ounce of gold and per pound of copper for 9M2025 based on co-production method were US$2,372 per ounce and US$3.57 per pound, compared with US$1,881 per ounce gold and US$3.75 per pound copper in 9M2024, respectively. Despite lower operating costs base, the breakeven costs per ounce and per pound increased in 9M2025 on account of lower metal output.

For 3Q2025, the operating cost per unit of gold increased to US$2,580 per ounce (versus US$1,984 per ounce in 3Q2024) on account of lower metal output. On the other hand, unit per copper decreased to US$3.32 per pound (versus US$3.87 per pound) as cost allocated to copper based on revenue contribution decreased due to lower proportion of copper in the total revenues with the significant increase in realized gold price in 3Q2025 that effectively increased its proportionate in the total reevenues thus reducing that of copper.

Other Income (Charges)

The Company recorded a Net Other Charges of Php153 million in 9M2025 versus Php45 million in 9M2024. The Net Other Charges in 9M2025 consisted mainly of the interest expenses on Company loans, and realized and unrealized losses on foreign exchange transactions due to the weakening of the Philippine peso against the US Dollar as they relate to the dollar denominated loans of the Company. Forex closed at Php57.95 as of September 30. 2025 from Php57.845 at end-2025. These losses were offset by the interest income from the Company's short-term cash investments and the Company's share in net income (losses) of associates. Similarly, the Net Other Charges in 9M2024 consisted primarily of interest expenses, losses on foreign exchange transactions and the Company's share in the net losses of associates, with partial offset from interest income.

For 3Q2025, the Company reported a Net Other Charges of Php257 million mainly on account of losses from foreign exchange transactions with the drop of Forex from Php56.33 at the end of

2Q2025 to Php57.95 as of September 30, 2025, interest expenses, with an offset from the Company's share in net income of associates and interest income. On the other hand, the Company reported Net Other Income of Php108 million in 3Q2024 which substantially consisted of the gain from foreign exchange transactions and interest income, net of interest expense.

Provision for (Benefit from) Income Tax

The Company recorded a Provision for Income Tax of Php144 million for 9M2025 with Php118 million in 3Q2025, compared with Php60 million in 9M2024 with Php36 million in 3Q2024.

Core and Reported Net Income

For 9M2025, the Company recorded a Core Net Income and Net Income of Php480 million and Php482 million, respectively, compared with a Core Net Income of Php610 million and Net Income of Php636 million in 9M2024. The lower Core Net Income in 9M2025 was primarily from higher operating costs and higher interest expenses. Similarly, net Income decreased by 24% mainly due to higher operating costs, higher interest expenses and higher losses on foreign exchange transactions with the weakening of Philippine Peso against U.S. dollars as they relate to dollar-denominated loans. For 3Q2025, the Core Net Income amounted to Php344 million, 72% higher than the Php200 million in 3Q2025 on account of higher gold revenues. Net Income for the quarter was Php180 million, lower by 41% compared with the Net Income of Php307 million in 3Q2024 on account of losses from forex transactions.

As income attributable to non-controlling interest was nil, the Net Income Attributable to the Equity Holders was the same as the reported Net Income for the 9M2025 and 9M2024.

In 9M2025, EBITDA was slightly higher at Php1.438 billion than the Php1.418 billion for 9M2024. On the other hand, EBITDA for 3Q2025 was 55% higher at Php784 million than the Php506 million in 3Q2024. The Company's Core Net Income and EBITDA exclude non-recurring transactions to clearly reflect and provide results based on the normal operating parameters of the business.

FINANCIAL CONDITION REVIEW

Current Assets

The Company's Current Assets as of September 30, 2025 decreased to Php5.399 billion from Php7.045 billion as of December 31, 2024. The decrease of Php1.646 Billion was mainly from lower Cash and Cash Equivalents and Accounts Receivable offset by the increases in Inventories and Other Current Assets on account of additional VAT receivable on Company purchases.

<u>Cash and Cash Equivalents</u>

The Cash and Cash Equivalents amounted to Php1.193 billion as of September 30, 2025 from Php4.058 billion as of December 31, 2024. The consolidated cash balance included proceeds from SMMCI's loan availment of US$61.2 million and Php2.244 billion on June 3, 2024 for the additional funding for the development of the Silangan Project, cash generated from copper concentrates shipment proceeds valued at strong copper and gold prices and continuously favorable foreign exchange rates, and also proceeds from other short-term loan availments. The Company continues to maintain cash reserves for programmed infusion in the Silangan Project.

<u>Accounts Receivable</u>

The Company's Accounts Receivable decreased to Php656 million as of September 30, 2025 from Php1.257 billion as of December 31, 2024. This account consisted of Trade Receivables from sales of the Company's copper concentrates or bullion and Other Receivables that include loan to an associate and advances to employees for conduct of transactions in the ordinary course of business. As of September 30, 2025, Trade Receivables amounted to Php429 million, while Other Receivables were Php227 million.

Under the existing sales agreement with the Company's Customers ("Offtakers"), the Company receives 90% of the total US$ value of the copper concentrates within 3-4 days after presentation of sales and shipping documents, with the balance payable upon final pricing determination based on agreed quotational period ("QP") in accordance with the offtake agreements. The 2024-2025 offtake agreements covering ten (10) shipments ended on July 14, 2025 determined QP pricing as a combination of Prior Month of Shipment Schedule ("MOSS") for a fixed quantity and current monthly average for variance of actual final quantity against fixed quantity, while new offtake agreements covering the remaining four shipments in 2025 has a QP of one month after month of arrival of shipment at port of destination.

The Trade Receivables as of September 30, 2025 consisted of the remaining value of four shipments (versus three shipments as of December 31, 2024) awaiting final pricing, were with IXM S.A., Hartree Metals LLC and MRI Trading AG. The QP for the remaining shipment under the 2024-2025 offtake agreement is the second month prior of the Month of Scheduled Shipment (MOSS-2) for a fixed quantity under IXM S.A. and one month prior of the Month of Scheduled Shipment (MOSS-1) under Hartee Metals LLC. The difference of final quantity versus fixed quantity under both offtakers are at priced using 3MAMA (3 Months After Month of Arrival). The shipment with MRI Trading AG has a QP of one month after month of arrival of shipment at port of destination.

In March 2022, the Company granted loans to its associate, PXP Energy Corporation, where Philex owns 24.93% interest, through the issuance of the later of covering Promissory Notes (PNs). Under the PNs, total loans to PXP Energy amounted to US$600,000 or equivalent to Php31 million, payable on demand and subject to an interest of 3.5% p.a. over LIBOR (6 months) that is payable quarterly. Another loan was granted to PXP Energy amounting to US$300,000 in August 2025. This 2025 loan follows the same terms as the 2022 loan. Total interests received for 9M2025 amounted to Php2.0 million.

<u>Inventories - Net</u>

Total Inventories, consisting of materials and supplies and mine products, amounted to Php2.377 billion as of September 30, 2025, an increase of Php1.424 billion from Php952 million as of December 31, 2024.

As of September 30, 2025, mine products inventory, which is valued at net realizable value, amounted to Php1.386 million or 58% of total inventory, while inventory for materials and supplies amounted to Php991 million or about 42% of total inventory. As of December 31, 2024, mine products inventory amounted to Php356 million, while materials and supplies inventory was

Php596 million. Mine products inventory increased by 289% on account mainly of the one full shipment that remained in inventory as a result of the delay in the arrival of the vessel due to typhoon. The ending mine products inventory corresponded to 7,084 WMT of copper concentrates, against 2,320 WMT as of December 31, 2024. Metal prices for copper and gold were also higher for 9M2025 compared with 2024. Similarly, materials and supplies increased by Php394 million due to the continuing build-up of critical and insurance inventories to ensure availability of parts for ageing equipment given the further extension of the life of Padcal Mine to December 2028.

Derivative Assets

Derivative Assets amounted to Php12 million as of September 30, 2025 versus NIL in 2024, representing the unrealized mark-to-market gains on outstanding gold hedge contracts and unamortized portion of the premium on put options on gold hedge contracts.

Other Current Assets

Other Current Assets, composed primarily of input Value-Added Tax ("VAT") claims for refund on purchases of materials, supplies and equipment, increased to Php1.161 billion as of September 30, 2025 from Php777 million as of December 31, 2024, due mainly to additional VAT receivable on Company purchases. Based on the issued guidelines on VAT zero-rating which retroacts to December 10, 2021, all purchases of goods and services by Philex Mining shall be subject to 12% VAT but can still be refunded to Philex, being an exporter, by the Bureau of Internal Revenue (BIR) for VAT on local purchases and by Bureau of Customs (BOC) for VAT on importations. However, starting 2Q2025 following the effectivity of Republic Act (RA) No. 12066 otherwise known as the "CREATE MORE Act", all purchases of goods and services of the Company, local and otherwise, are VAT xero-rated. While this regulation is in place, the Company can continue to process the claim for still unrefunded VAT receivable prior to the effectivity of the new tax provision on VAT. As of September 30, 2025, the Company has a total VAT receivable of Php1.120 billion of which Php153 million represents the remaining outstanding VAT claim for 2023 currently pending with the BIR and BOC. For 9M2025, the Company has received Php448 million of VAT refund covering a portion of the VAT receivable for 2023.

Non-Current Assets

Non-Current Assets of Php50.476 billion as of September 30, 2025 increased from Php46.230 billion as of December 31, 2024. This comprised mainly of Deferred Exploration Costs, Investment in Associates, Property, Plant and Equipment, and Other Non-current Assets. Deferred Exploration Costs and Property, Plant and Equipment represent 77% of total assets, signifying the capital intensive nature of the business.

Property, Plant and Equipment

Property, Plant and Equipment ("PPE") increased to Php7.559 billion as of September 30, 2025 from Php4.872 billion as of December 31, 2024 due to sustaining capital expenditures mainly on the Padcal's mine development activities, net of amount of Depletion, Amortization and Depreciation for the period. This also included Php3.903 billion PPE for Silangan Project as of September 30, 2025.

Deferred Exploration Costs

Deferred Exploration Costs (DEC) increased to Php35.463 billion as of September 30, 2025 from Php33.689 billion as of December 31, 2024, which included the expenditures related to Silangan Project with cumulative amount of Php32.954 billion or 93% of total deferred exploration costs. Total DEC for the Silangan Project represented expenditures on exploration and development other than those related to capital equipment. The Company is in the process of evaluating the Silangan DEC for proper treatment once Silangan Project starts operation.

Investment in Associates

Investment in Associates slightly increased to Php3.774 billion as of September 30, 2025 from Php3.746 billion as of December 31, 2024, mainly from the Company's share in the net income of associates in 9M2025 of Php28 million which considered the net income of Lepanto and net loss of PXP Energy.

Pension Asset

Pension Asset slightly decreased to Php111 million as of September 30, 2025 from Php142 million as of December 31, 2024, which represents the excess of the fair value of plan assets against the present value of defined benefit obligations under the Company's retirement plan, net of SMMCI pension obligation.

Financial Assets Measured at FVOCI

Financial Assets Measured at FVOCI, consisting mainly of shares in golf and country clubs, remained at Php193 million as of September 30, 2025 from December 31, 2024.

Other Non-Current Assets

Other Non-Current Assets amounted to Php3.376 billion as of September 30, 2025 and Php3.588 billion as of December 31, 2024. This included the advances of SMMCI to its suppliers and contractors totalling to Php1.967 billion and non-current portion of SMMCI Input Value-Added Tax amounting to Php1.282 billion as of September 30, 2025.

The development of the Silangan Project is progressing. SMMCI has ordered all the required equipment and has entered into various contracts such as the construction of the tailings storage facility and process plant. Most of these orders and contracts require advance payments now totalling to Php1.967 billion under terms of recoupment either from progress billing or final payment.

The Company's VAT Receivable under non-current assets amounted to Php1.282 million as of September 30, 2025 from Php1.541 billion as of December 31, 2024.

Total Assets

Total Assets of the Company increased to Php55.875 billion as of September 30, 2025 from Php53.274 billion as of December 31, 2024, primarily from the higher Inventories, Other Current Assets, PPE and Deferred Exploration Costs.

Current Liabilities

Current Liabilities slightly increased to Php7.200 billion as of September 30, 2025 from Php6.239 billion as of December 31, 2024, due mainly to the additional loans and increase in Current portion of long-term borrowings.

Accounts Payable and Accrued Liabilities

As of September 30, 2025, Accounts Payable and Accrued Liabilities increased to Php3.448 billion from Php3.181 billion as of December 31, 2024. This composed primarily of payables to suppliers and contractors of which no material amount has been left unpaid within terms acceptable and agreed upon with suppliers and contractors.

Short-term Payable

Short-term Payable amounted to Php2.701 billion (or US$46.6 million) as of September 30, 2025 from Php2.429 billion (also US$42 million) as of December 31, 2024, consisting of short-term loans with local banks. The slight decrease in Peso amount was from the restatement of the dollar denominated loans using a lower closing forex of Php57.954 as of September 30, 2025 versus Php57.845 as of December 31, 2024. Total outstanding loan of the Parent Company amounted to US$40.6 million while the loan of SMMCI amounted to US$6 million.

Current Portion of Long-term Borrowings

As of September 30, 2025, Current Portion of Long-term Borrowings amounted to Php933 million (or US$16.1 million) from Php463 million (or US$8 million) as of December 31, 2024, representing the amount due within one year from the medium-term loans with PNB.

Subscription Payable

Subscription Payable remained at Php2.8 million as of September 30, 2025 which consisted of outstanding payables to Philodrill Corporation and Kalayaan Copper Gold Resources, Inc.

Dividends Payable

Dividends Payable amounted to Php115 million as of September 30, 2025 from Php108 million as of December 31, 2024. The Philex Board of Directors approved on February 26, 2025 the declaration of regular cash dividend of two centavos to shareholders on record date of March 12, 2025, payable on March 24, 2025, which represented 16% of Core Net Income.

Non-Current Liabilities

As of September 30, 2025, Non-Current Liabilities amounted at Php15.732 billion, higher than Php14.454 billion as of December 31, 2024, comprising mainly of Loans and Bonds Payable, and Deferred Income Tax Liabilities.

Long-term Debt – Net of Current Portion

Long-term Debt – Net of Current Portion amounted to Php13.741 billion as of September 30, 2025 from Php12.584 billion as of December 31, 2024, consisting of the Convertible Note (CN) issued by SMECI to Asia Link B.V. as well as the proceeds of loan availed by PMC from PNB in May

2023 and in May 2025, net of the current portion which was reflected under Current Liabilities and the loan availment of SMMCI from its syndicated loan facilities in June 2024.

The CN issued to Asia Link B.V. was extended for another three years from the expiry of its original maturity date of December 18, 2022, with the sole option of SMECI to extend further for another three years at 1.5 years interval. The CN is subject to 1.5% coupon rate p.a. payable semi-annually. Total amount of CNs issued by SMECI, with Philex as the co-issuer, on December 18, 2014 was Php7.2 billion consisting of the CN issued to Asia Link B. V. and the Social Security System (SSS). Based on original terms, the CNs were convertible into 400,000 common shares of SMECI at Php18,000 per share. At redemption/maturity date, the CNs can be redeemed together with the principal or face value of the CNs at a premium, payable at a rate of 3% per annum compounded semi-annually based on the face value of the CNs and unpaid accrued interest (if there be any). The proceeds of the CNs were used to repay SMECI's advances from Philex Mining and fund further exploration works of SMMCI. The CN issued to SSS matured and was settled in December 2022.

As of September 30, 2025, the carrying amount of the CN was Php6.610 billion compared with Php6.343 billion as of December 31, 2024. The CN amount included the changes in the amounts corresponding to the amortization of deferred transaction costs, accretion of interest from the discounting of the face value of the Convertible Note (CN) and accrual of the 3% redemption premium.

The loans payable represents medium-term dollar-denominated loans from Philippine National Bank (PNB) obtained in May 2023 and in May 2025, and the long-term loan of SMMCI from its syndicated loan facilities. The principal amount of the May 2023 PNB loan is US$25 million, payable on equal quarterly installment over three years and subject to a fixed interest of 6.67% p.a. accruing quarterly. As to the May 2025 PNB loan, the principal amount is US$30 million, payable on equal quarterly installment over three years and subject to a fixed interest of 6.99% p.a. accruing quarterly. The Company has made repayment of US$13.7 million, reducing the outstanding principal amount of the two PNB loans to US$41.3 million of which US$16.1 million was reflected under Current Liabilities and US$25.2 million or equivalent to Php1.460 million under Non-current Liabilities as of September 30, 2025 from Php578 million as of December 31, 2024.

SMMCI made its initial drawdown from its syndicated loan facilities on June 3, 2024. Total amount drawn was Php5.671 billion, consisting of US$61.2 million from the U.S. Dollar Loan Facility and Php2.244 billion from the Peso Loan Facility. The syndicated loan facilities are with five local banks for a total of approximately US$170 million, comprising of US$102 million under the U.S. Dollar Loan Facility and Php3.740 billion under the Peso Loan Facility, payable on quarterly installment over eight years with three-year grace period from Financial Close. The U.S. Dollar Loan Facility is subject to a Floating Interest Rate with a tenor of three (3) months, while the Peso Loan Facility is subject to a Fixed Interest Rate with a tenor of five (5) years from Financial Close and three (3) years from Reset Date until Final Maturity. As of September 30, 2025, total loan from the syndicated loan facilities amounted to Php5.671 billion, net of Php121 million of transaction cost, compared with Php5.663 billion as of December 31, 2024.

Deferred Income Tax Liabilities

Deferred Income Tax Liabilities, mainly consisting of Php1.388 billion arising from the acquisition of Anglo's 50% stake in the Silangan companies and Php600 million mainly for accelerated deductions, slightly increased to Php1.988 billion as of September 30, 2025 from Php1.867 billion as of December 31, 2024 which considered the impact of the CREATE Law that reduced corporate income tax rate to 25% from 30% effective July 2020.

Provision for Losses and Mine Rehabilitation Costs

Provision for Losses and Mine Rehabilitation Costs was maintained at Php2 million as of September 30, 2025 from December 31, 2024. The amount of Php137 million that is required under the Company's MGB-approved Final Mine Rehabilitation and Development Program has been fully funded.

Total Liabilities

As of September 30, 2025, Total Liabilities amounted to Php22.932 billion, slightly increased from the Php20.692 billion as of December 31, 2024, mainly from increasing liabilities to suppliers and contractors.

Total Equity

The Company's Total Equity as of September 30, 2025 increased to Php32.943 billion from Php32.582 billion as of December 31, 2024 on account mainly of the 9M2025 net income of Php482 million and net of the cash dividend declared in February 2025 of Php116 million.

Capital Stock and Additional Paid in Capital remained at Php5.782 billion and Php2.885 billion, respectively, as of September 30, 2025 from December 31, 2024, which reflected the issuance of new Philex shares under the Stock Rights Offer ("SRO") that was completed on August 3, 2022. Retained Earnings increased to Php20.863 billion as of September 30, 2025, consisting of Php10.363 billion unappropriated amount and Php10.500 million appropriated of which Php10.000 billion and Php500 million were approved for appropriation by the Board of Directors on December 13, 2013 and February 28, 2017, respectively, for the development and construction of the Silangan Project which appropriated amount remained the same compared with the December 31, 2024 balance. Total Retained Earnings increased from Php20.485 billion as of December 31, 2024. The unappropriated amount is inclusive of the 9M2025 Net Income of Php482 million and net of cash dividend declared on February 26, 2025 of Php116 million.

The Company recorded Net Unrealized Gain on Financial Assets Measured at FVOCI and derivative of Php83 million as of September 30, 2025 from Php100 million as of December 31, 2024.

There were no changes on the balances of Equity Conversion Options, Equity Reserves, Net Revaluation Surplus and Effect of Transactions with Non-controlling Interests as of September 30, 2025 from their December 31, 2024 balances at Php858 million, Php368 million, Php1.850 billion and Php78 million, respectively. Equity Conversion Options corresponded to the value of the conversion options of the 8-year convertible bonds issued by SMECI, with Philex Mining as the co-issuer, in December 2014 with a face value of Php7.200 billion, which was reduced from Php1.226 billion to Php858 million with the amount recorded as Equity Reserves following the redemption of the CN issued to SSS in December 2022. Net Revaluation Surplus was related to the step acquisition of the Silangan Project companies in 2009.

Total Liabilities and Equity amounted to Php55.874 billion as of September 30, 2025, a slight increase from Php53.274 billion as of December 31, 2024.

Liquidity and Capital Resources

The Company's existing liquidity position and capital resources are primarily used for the funding of its existing operations and exploratory drilling works within and around the Sto. Tomas ore body with the aim to further extend the mine life of Padcal and for development works of the Silangan Project. Despite the risks inherent in the business associated with metal prices, foreign exchange rates, regulatory environment, and the changing economic and market conditions, the Company's net cash generated from operating activities amounted to Php1.106 billion for the nine months ended September 30, 2025 (9M2025) compared with Php976 million in the nine months of 2024 (9M2024). This allowed the Company to have sufficient liquidity to meet working capital needs, finance any strategic supply chain activities in anticipation of global supply chain disruptions and any unscheduled operating disruptions.

Internally generated funds remain as the Company's principal source of cash to finance the capital expenditures of the Padcal Mine, to partly finance the development of the Silangan project, exploration initiatives of various mine sites, and for the repayment of existing loans when programmed. Fund raising through equity and/or debt financing are other sources of funds to augment the principal source of cash.

Net cash used in investing activities, principally for capital expenditures and deferred exploration costs amounted to Php5.329 billion in 9M2025 compared with Php5.448 billion in 9M2024. Capital expenditures mainly for Silangan were higher at Php3.430 billion 9M2025 compared with Php1.563 billion in 9M2024. Expenditures for deferred exploration costs (DEC) were lower at Php1.426 billion in 9M2025 compared with Php1.798 billion in 9M2024. In addition to the development related expenditures for the Silangan Project, the Company conducted scout drilling and confirmatory drilling activities to assess and evaluate the potential of some mining prospects and also continued to focus on implementing activities to comply with the minimum regulatory requirements under existing exploration permits. The development of the Silangan Project is progressing wherein SMMCI has ordered all the required equipment and has entered into various contracts such as construction of tailings storage facility and process plant. Most of these orders and contracts require advance payments now totaling to P1.967 billion under terms of recoupment either from progress billing of final payment.

Capital Expenditures and Deferred Exploration Costs

(in Php Millions)	**9M2025**	**9M2024**
Padcal and Others:		
Mine Development	539	447
Tailings Pond Structures	57	71
Machinery and Equipment	316	537
Total	913	1,056
Silangan Project:		
Deferred Exploration Costs	1,386	1,718
Machinery and Equipment	2,517	507
Total	3,903	2,225

Mine Exploration Projects	40	80
Total	4,856	3,360
By Recording:		
Property, Plant and Equipment	3,430	1,563
Deferred Exploration Costs	1,426	1,798
Total	4,856	3,360

Total Capital Expenditures and Deferred Exploration Costs amounted to Php4.856 billion in 9M2025, compared with Php3.360 billion in 9M2024.

Padcal operations accounted for 19% of total actual spending at Php913 million in 9M2025 as compared with Php1.056 billion in 9M2024. The capital expenditures for Padcal included the acquisition of mine and mill equipment to augment Padcal's ageing machinery and equipment, mine development works to increase ore source and maintenance works to ensure stability of the existing tailings storage facility

Silangan Project comprised 80% of the capital expenditures amounting to Php3.903 billion in 9M2025 compared with Php2.225 billion in 9M2024. The Company started implementing the development program under the 2022 In-Phase Mine Plan feasibility study thus the increase in capital expenditures for Silangan from 2022 to 9M2025. The expenditures included construction works at the boxcut, portal and main access decline of the underground mine and ventilation shaft, process plant construction, TSF construction, additional land banking, and acquisition of initial equipment. A total of Php2.517 billion was spent in 9M2025 for machinery and equipment compared with Php507 million in 9M2024 as part of the development phase program.

Other mining exploration projects amounted to Php40 million in 9M2025 compared with Php80 million in 9M2024. These activities included expenditures related to confirmatory drilling works and expenses in compliance with regulatory requirements.

Net cash generated from financing activities amounted to Php1.357 billion in 9M2025 compared with Php6.208 billion in 9M2024. In May 2025, the Company availed Php1.669 billion or $30 million medium-term loan from a local bank to finance Padcal capital expenditures for mine development and tailings storage facility. In September 2025, the Parent Company availed Php290 million or $5 million short-term loan to temporarily finance Padcal working capital expenses while waiting for the receipt of its delayed shipment. The Company paid Php406 million or US$6.7 million in 9M2025 on its medium-term loan based on its repayment schedule. The Company also paid dividends of Php116 million equivalent to Php0.02 cents per share. In June 2024, SMMCI made its initial drawdown from its syndicated loan facilities. Total amount drawn was Php5.831 billion, consisting of US$61.2 million from the U.S. Dollar Loan Facility and Php2.244 billion from the Peso Loan Facility. In May 2024, the Company also availed short-term loan of Php745 million or US$13 million from a local bank to temporary finance the various operating and capital expenditures of Padcal pending receipt of shipment proceeds.

Top Five Key Financial and Non-Financial Performance Indicators

Safety Performance

Personnel health and safety is of paramount concern and regarded with utmost priority. In 9M2025, the Company reported for its Padcal Mine two Lost Time Accident-Fatal ("LTA-F") and two LTA-F incident in 9M2024. Meanwhile, in terms of Lost Time Accident Non-Fatal events, only one incident was reported in 9M2025 compared with five in 1H2024.

Though it is a difficult task to maintain a "zero-harm" record due to the presence of uncertainties that could contribute to the level of risk in terms of health and safety, the Company is constantly reviewing of safety policies and procedures. Various initiatives are being reassessed based on the present situation and are being implemented to minimize the occurrence of accidents and injuries in the workplace. Third-party experts are likewise engaged when necessary to assess existing safety performance and identify risk areas.

Earnings Per Share

Earnings Per Share (EPS) represents the net income attributable to equity holders of the Company, expressed in the amount per share of the Company's average outstanding capital stock. Assuming a constant outstanding number of shares, the earnings per share correspondingly rises as the Company's earnings increase. The EPS ultimately reflects the Company's financial and operational growth as a result of its performance in cost management, technical efficiency and productivity.

	9M2025	**9M2024**
Earnings Per Share	0.083	0.110
Total Average Outstanding Shares	5,782,399,068	5,782,399,068

Tonnes Milled and Metals Produced

Tonnes milled and ore grade determine the volume of concentrates produced and sold. Tonnes milled were 5,174,178 in 9M2025, higher than the 5,042,016 in 9M2024. As a result of lower ore grades, copper production was down to 14,303,767 pounds in 9M2025 from 14,752,732 pounds in 9M2024. Gold production was also lower at 19,534 ounces in 9M2025 compared with 23,566 ounces in 9M2024.

Break-even Production and Operating Cost Per Unit

The Company's average cost per tonne is a key measure of the Company's operating performance. At the same cost level, the higher the production volume, the lower the cost per tonne becomes, which will also be similar if the same production volume incurs a lower operating cost. Thus, a lower cost per tonne would generally reflect an improvement in operating efficiency.

The same essentially applies to cost expressed in per unit of metal, which incorporates the metal grade, as it affects metal production, and the exchange rate, as it affects the conversion from peso to dollar.

In 9M2025, total production costs (including depletion, amortization and depreciation) on a per unit basis slightly decreased to Php944 per tonne (based on total production costs of Php4.885 billion) for 9M2025 from Php947 per tonne (based on total production costs of Php4.777 billion) in 9M2024. Total Production Cost per Tonne decreased due to higher tonnage in 9M2025 as denominator to get the cost per tonne. This is despite higher production costs.

Total operating costs (consisting of total production costs, smelting charges, excise taxes, and royalties) also decreased to Php1,078 per tonne in 9M2025 from Php1,129 per tonne in 9M2024. The decrease in cost per tonne was mainly attributable to higher tonnage and lower operating costs. Total operating costs for purposes of computing the break-even costs amounted to Php5.577 billion in 9M2025, slightly lower compared with Php5.694 billion in 9M2024.

Using co-production method, the operating cost applicable to gold produced amounted to US$2,372 per ounce in 9M2025 compared with US$1,881 per ounce in 9M2024, while operating cost applicable to copper produced amounted to US$3.57 per pound in 9M2025 compared with US$3.75 per pound in 9M2024. Under co-production method, the total cost is allocated proportionately based on the revenue contribution of each product considering there is no physical basis that can be used in allocating costs between the two metals. Despite lower operating costs, the operating cost per ounce and per pound increased in 9MH2025 on account of lower metal output.

Exploration Activities

The Company is cognizant that exploration in itself is a speculative endeavor, and mineral exploration and mining operations can be hampered by force majeure and other unforeseen circumstances beyond the Company's control. To mitigate the impact of these external factors and other contingencies, the Company banks on its ability to successfully explore and/or acquire reserves, design and construct efficient processing facilities, operate and manage its projects, and provide effective financial controls and management. To ensure the optimization of value from its natural resource properties and the long-term sustainability of operations, the Company pursues and invests in viable exploration activities and operational enhancements on a constant basis. In recent years, exploration activities focused mostly on regulatory requirements under the exploration permits, or scout drilling or confirmatory drilling works on mining prospects.

In 9M2025, the Company spent Php1.426 billion on mining exploration which included costs related to the development and construction works of the Silangan Project that started in 2022, compared with Php1.798 billion in 9M2024. As of September 30, 2025, total deferred exploration costs amounted to Php35.463 billion, comprising 63% of the Company's Total Assets, compared to Php33.689 as of December 31, 2024.

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Subsidiaries and Related Party Transactions

The Company's significant related party transactions as of September 30, 2025 and December 31, 2024 which are under terms that are no less favourable than those arranged with third parties, and account balances are as follows:

a) Advances from PMC to SMMCI and SMECI

PMC, owning directly and indirectly 100% of SMMCI and SMECI, provides the funds to SMMCI, through SMECI since 2011 and directly thereafter, for the Silangan Project's expenditures since the Company's acquisition of Anglo American's interest in the Silangan Project in 2009. These advances, which were intended for conversion into equity, amounted to Php6.383 billion as of September 30, 2025 compared with Php3.889 billion as of December 31, 2024. For 9M2025, the Company advanced $43 million to SMMCI to fund the development of the Silangan Project, in line with the approved Silangan Funding Plan. Portion of the PMC advances to SMECI and SMMCI amounting to Php792 million and Php1.459 billion, respectively, were settled in 2022.

b) Issuance of Convertible Notes to Asia Link B.V. and SSS by SMECI

In December 2014, SMECI and PMC, as the co-issuer, issued 8-year convertible notes (CNs) to Asia Link B.V. and Social Security System (SSS) with a face value of Php7.2 billion at 1.5% coupon rate p.a. payable semi-annually. Based on original terms, the CNs were convertible into 400,000 common shares of SMECI at Php18,000 per share one year after the issue date.

In December 2022, Asia Link B.V. and SMECI agreed, with the consent of PMC, to a 3-year extension from the original maturity of the convertible note held by Asia Link B.V. from December 19, 2022 to December 18, 2025, the same which can be further extended for another 3 years, at 1.5 year intervals, at the sole option of SMECI and PMC. The extension was made in support of the fund-raising activities for the development of the Silangan Project of SMECI under its subsidiary, SMMCI. With respect to the convertible note held by SSS, the same was settled at maturity date, consistent with the agreement with the related equity conversion option classified as part of the Group's equity reserves.

In December 2024, the convertible note held by Asia Link B.V. was further extended for another 1.5 years from December 19, 2025 up to June 18, 2027. The gain recognized as a result of these modification amounted to Php273 million in 2024 and Php500 million in 2022.

The carrying value of the CN amounted to Php6.610 billion as of September 30, 2025, compared with Php6.343 billion as of December 31, 2024.

c) Investment in SMECI and SMMCI

In October 2022, a subscription agreement was entered between PMC and SMECI wherein PMC subscribed 75,787 new shares from SMECI with a total consideration of Php2.580 billion. The subscription price was taken from PMC's proceeds from Philex SRO.

Subsequently, SMECI invested the net proceeds in SMMCI to support the capital expenditures and development of the Silangan Project in exchange for 38,609 SMMCI shares.

In December 2022, PMC subscribed additional shares from SMECI consisting of 101,471 new shares with total subscription price of Php2.649 billion, which proceeds were used by SMECI to settle its liabilities and additional subscription of 33,708 shares in SMMCI.

d) SMMCI Syndicated Loan Facilities

In November 2023, SMMCI, together with the Parent Company and SMECI (serving as the guarantor and share collateral security guarantor, respectively), entered into an Omnibus Loan and Security Agreement (OLSA) with local banks. This agreement, covering an approximately US$100 million, included a loan facility denominated in US Dollar of up to US$60 million and another loan facility denominated in Philippine Pesos of up to Php2.2 billion. In February 2024, a Deed of Accession was signed by SMMCI with additional local banks acceding to the terms of the OLSA for an additional loan facility of approximately US$70 million, completing the debt portion of the Silangan Project funding of US$170 million. The total loan commitment of US$170 million comprises of a U.S. Dollar facility for US$102 million and Philippine Pesos facility for Php3.374 billion.

On June 3, 2024, SMMCI made the initial drawdown of US$61.2 million from the US. Dollar Facility and Php2.244 billion from the Philippine Pesos Facility. As of September 30, 2025, total outstanding loan amounted to Php5.671 billion from Php5.663 billion as of December 31, 2024, net of Transaction Costs of Php121 million.

e) Loans Granted by Philex Mining to PXP Energy Corporation

In March 2022, PXP Energy Corporation (PXP Energy), an associate of PMC through a 30.4% interest, issued Promissory Notes (PNs) to PMC amounting to US$375,000 and US$225,000 or a total of US$600,000, payable on demand and subject to an interest of 3.5% p.a. over LIBOR (6 months), payable quarterly. In August 2025, an additional US$300,000 was loaned to PXP with similar terms as that of the 2022 loan. As of September 30, 2025, total loans receivable from PXP Energy amounted to Php48 million from Php30 million as of December 31, 2024.

Known Trends, Events, or Uncertainties

There is no known event that will trigger direct or contingent financial obligation that is material to the Company, including any default or acceleration of an obligation that have not been booked, although the Company could be contingently liable for lawsuits and claims arising from the ordinary course of business, which contingencies are not presently determinable.

Other than as discussed above, there are no known significant trends, demands, commitments, or uncertainties that will result in or that are reasonably likely to result in the Company's liquidity increasing or decreasing in a material way. There are no material commitments for capital expenditures not reflected in the Company's financial statements.

There is likewise no significant seasonality or cyclicality in its business operation that would have material effect on the Company's financial condition or results of operation. There were no other significant elements of income or loss that did not arise from the Company's continuing operations. There are no material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationship of the Company with unconsolidated entities or other persons created during the reporting period. There are no line items in the Company's financial statements not already explained for causes either above or in the Notes to the Consolidated Financial Statements other than due to the usual period-to-period fluctuations in amounts natural in every business operations.

PART II - OTHER INFORMATION

There are no other information for this interim period not previously reported in a report on SEC Form 17-C.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

PHILEX MINING CORPORATION
(Issuer)

EULALIO B. AUSTIN, JR.
President and CEO

ROMEO B. BACHOCO
Chief Finance Officer

PARALUMAN M. NAVARRO
Assistant Vice President
Corporate Finance

Date: November 06, 2025

PHILEX MINING CORPORATION
AND SUBSIDIARIES

UNAUDITED
CONSOLIDATED
FINANCIAL STATEMENTS
September 30, 2025

PHILEX MINING CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
(Amounts in Thousands, except Par Value per Share)

		September 30 2025 (Unaudited)		December 31 2024 (Audited)
Current Assets				
Cash and cash equivalents	P	1,193,065	P	4,058,409
Accounts receivable - net		655,896		1,256,616
Inventories - net		2,376,648		952,362
Derivative assets		11,913		-
Other current assets - net		1,161,036		777,244
Total Current Assets		5,398,558		7,044,631
Noncurrent Assets				
Property, plant and equipment - net		7,559,339		4,872,233
Deferred exploration costs		35,463,480		33,688,616
Investment in associates - net		3,774,132		3,745,711
Pension asset - net		110,670		142,269
Financial assets measured at fair value through other comprehenesive income (FVOCI)		192,966		192,966
Other non current assets		3,375,346		3,587,830
Total Noncurrent Assets		50,475,933		46,229,625
TOTAL ASSETS	**P**	**55,874,491**	**P**	**53,274,256**

LIABILITIES AND EQUITY				
Current Liabilities				
Accounts payable and other current liabilities	P	3,448,154	P	3,235,772
Short-term loan payable		2,700,620		2,429,490
Current portion of long-term debt		933,059		462,760
Subscription payable		2,767		2,767
Dividends payable		115,395		107,849
Total Current Liabilities		7,199,995		6,238,638
Noncurrent Liabilities				
Long-term debt - net of current portion		13,741,103		12,584,136
Deferred tax liabilities - net		1,988,096		1,867,141
Provision for losses		2,342		2,342
Total Noncurrent Liabilities		**15,731,541**		**14,453,619**
Total Liabilities		**22,931,536**		**20,692,257**
Equity Attributable to Equity Holders of the Parent Company				
Capital Stock - P1 par value		5,782,399		5,782,399
Additional paid-in capital		2,885,163		2,885,163
Retained Earnings				
Unappropriated		10,363,410		9,985,424
Appropriated		10,500,000		10,500,000
Net revaluation surplus		1,849,971		1,849,971
Equity conversion option		857,863		857,863
Equity reserves		367,655		367,655
Effect of transactions with non-controlling interests		77,892		77,892
Share in the cumulative translation adjustment on an associa		176,080		176,080
Net unrealized gain (loss) on financial assets measured at FVOCI and derivative		82,831		99,861
		32,943,264		32,582,308
Non-controlling interests		(309)		(309)
Total Equity		**32,942,955**		**32,581,999**
TOTAL LIABILITIES & EQUITY	**P**	**55,874,491**	**P**	**53,274,256**

PHILEX MINING CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF INCOME (UNAUDITED)
(Amounts in Thousands, except Earnings Per Share)

	Nine Months ended September 30			
		2025		2024
REVENUES (Note 5)	**P**	**6,277,515**	**P**	**6,098,694**
COSTS AND EXPENSES				
Production costs		4,153,758		4,117,459
Depletion, amortization and depreciation		731,024		659,664
Excise taxes and royalties		412,866		387,591
General and administrative expenses		200,684		193,601
		5,498,332		**5,358,315**
INCOME FROM OPERATIONS		**779,183**		**740,379**
OTHER INCOME (CHARGES)				
Foreign exchange losses - net		(38,140)		(15,892)
Interest income		50,556		48,167
Interest expense		(123,991)		(83,532)
Share in net income (losses) of associates		28,421		(2,147)
Others - net		(69,800)		8,648
		(152,955)		**(44,755)**
INCOME BEFORE INCOME TAX		**626,229**		**695,624**
PROVISION FOR (BENEFIT FROM) INCOME TAX				
Current		(28,291)		141,947
Deferred		172,715		(82,354)
		144,424		59,593
NET INCOME	**P**	**481,805**	**P**	**636,031**
Net Income Attributable to:				
Equity holders of the Parent Company		481,805		636,031
Non-controlling interests		-		-
	P	**481,805**	**P**	**636,031**
BASIC/DILUTED EARNINGS PER SHARE	**P**	**0.083**	**P**	**0.110**

PHILEX MINING CORPORATION AND SUBSIDIARIES

UNAUDITED CONSOLIDATED STATEMENTS OF INCOME

(Amounts in Thousands, except Earnings Per share)

		3rd Quarter ended September 30		
		2025		**2024**
REVENUES		**2,522,166**		**2,124,959**
COSTS AND EXPENSES				
Production costs		1,477,863		1,455,293
Depletion, amortization and depreciation		257,298		239,704
Excise taxes and royalties		165,790		133,943
General and administrative expenses		65,629		61,035
		1,966,580		1,889,975
INCOME FROM OPERATIONS		**555,585**		**234,984**
OTHER (CHARGES) INCOME				
Foreign exchange losses (gains) - net		(183,802)		111,042
Interest income		14,740		19,859
Interest expense		(55,148)		(50,399)
Share in net income of associates		8,461		3,092
Others - net		(41,074)		24,072
		(256,822)		**107,666**
INCOME BEFORE INCOME TAX		**298,763**		**342,651**
PROVISION (BENEFIT FROM) FOR INCOME TAX				
Current		(36,884)		1,702
Deferred		155,232		34,351
		118,348		36,053
NET INCOME	**P**	**180,416**	**P**	**306,598**
Net Income Attributable to:				
Equity holders of the Parent Company		180,416		306,598
Non-controlling interests		-		-
	P	**180,416**	**P**	**306,598**
BASIC/DILUTED EARNINGS PER SHARE	**P**	**0.031**	**P**	**0.053**

PHILEX MINING CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME (UNAUDITED)
(Amounts in Thousands)

		Nine Months ended September 30		
		2025		**2024**
NET INCOME	P	481,805	P	636,031
OTHER COMPREHENSIVE INCOME (LOSS)				
Items to be reclassified to profit or loss in subsequent periods:				
Unrealized loss on fair value of hedging instruments		(17,030)		13,820
Share on the other comprehensive income of an associate		17,966		-
Items not to be reclassified to profit or loss in subsequent periods:				
Remeasurement of pension obligation (net of tax) and others		-		-
		936		13,820
TOTAL COMPREHENSIVE INCOME	**P**	**482,740**	**P**	**649,850**
Total Comprehensive Income Attributable to:				
Equity holders of the Parent Company		482,740		649,850
Non-controlling interests		-		-
	P	**482,740**	**P**	**649,850**

PHILEX MINING CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS (UNAUDITED)

	Nine Months ended September 30	
	2025	**2024**
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	P 626,229	P 695,624
Adjustments for:		
Depletion, amortization and depreciation	742,515	670,901
Unrealized foreign exchange losses (gains) and others - net	77,199	(134,972)
Share in net losses (gans) of associates	(28,421)	2,147
Amortization of pension assets	31,599	-
Interest income	(50,556)	(48,167)
Operating income before working capital changes	1,398,565	1,185,533
Decrease (increase) in:		
Accounts receivable	703,741	(38,232)
Inventories	(1,444,651)	(305,883)
Other current assets	228,260	(66,607)
Increase (Decrease) in:		
Accounts payable and other current liaiblity	182,375	385,610
Non current liabilities	111,471	(96,555)
Cash generated from operations	1,179,760	1,063,866
Interest paid	(123,991)	(137,426)
Interest received	50,556	49,584
Net cash flows generated from (used in) operating activities	**1,106,325**	**976,024**
CASHFLOWS FROM INVESTING ACTIVITIES		
Additions to property, plant and equipment	(3,429,622)	(1,562,533)
Increase in deferred exploration costs	(1,426,494)	(1,797,613)
Increase in other noncurrent assets	(473,190)	(2,087,407)
Net cash flows used in investing activities	**(5,329,306)**	**(5,447,553)**
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from:		
Availment of Short-term loan, net	290,500	744,900
Availment of Medium-Term Loan	1,669,050	5,830,932
Payments of:		
Medium-term loan	(405,729)	(201,219)
Capitalized interest expenses	(80,992)	(50,710)
Dividends	(115,648)	(115,648)
Net cash flows generated from (used in) financing activities	**1,357,180**	**6,208,255**
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS		
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(2,865,801)	1,736,726
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE PERIOD	4,058,866	3,814,350
CASH AND CASH EQUIVALENTS AT END THE PERIOD	**P 1,193,065**	**P 5,551,076**

PHILEX MINING CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY (UNAUDITED)
(Amounts in Thousands)

	Attributable to Equity Holders of the Parent Company												
			Retained Earnings										
	Capital stock	Additional paid-in capital	Unappropriated	Appropriated	Net unrealized gain (Loss) on finandial assets measured at FVOCI and erivative	Share in cumulative translation adjustment of an associate	Equity conversion option	Equity reserves	Net revaluation Surplus	Effect of transaction with Non-controlling Interest	Sub-total	Non-controlling interest	Total
BALANCES AT DECEMBER 31, 2024	5,782,399	2,885,163	9,985,424	10,500,000	99,861	176,080	857,863	367,655	1,849,971	77,892	32,582,308	(309)	32,581,999
Net income			481,805								481,805		481,805
Prior year adjustments on retained earnings			11,829								11,829		11,829
Other comprehensive income (loss):													
Items to be reclassified to profit and loss in subsequent periods:													
Net unrealized gain (loss) on finandial assets measured at FVOCI and derivative					(17,030)						(17,030)		(17,030)
Total comprehensive income	-	-	493,634	-	(17,030)		-	-	-	-	476,604	-	476,604
Declaration of dividends			(115,648)								(115,648)		(115,648)
BALANCES AT SEPTEMBER 30, 2025 (Unaudited)	**5,782,399**	**2,885,163**	**10,363,410**	**10,500,000**	**82,831**		**857,863**	**367,655**	**1,849,971**	**77,892**	**32,943,264**	**(309)**	**32,942,955**
BALANCES AT DECEMBER 31, 2023	5,782,399	2,885,163	9,287,207	10,500,000	80,346		857,863	367,655	1,849,971	77,892	31,688,496	(298)	31,688,198
Net income			636,031								636,031		636,031
Prior year adjustments on retained earnings											-		-
Other comprehensive income (loss):													
Items to be reclassified to profit and loss in subsequent periods:													
Net unrealized gain (loss) on finandial assets measured at FVOCI and derivative					13,820						13,820		13,820
Total comprehensive income	-	-	636,031	-	13,820		-	-	-	-	649,851	-	649,851
Declaration of dividends			(115,648)								(115,648)		(115,648)
BALANCES AT SEPTEMBER 30, 2024 (Unaudited)	**5,782,399**	**2,885,163**	**9,807,590**	**10,500,000**	**94,166**		**857,863**	**367,655**	**1,849,971**	**77,892**	**32,222,699**	**(298)**	**32,222,402**

PHILEX MINING CORPORATION AND SUBSIDIARIES
FINANCIAL SOUNDNESS INDICATORS

		Nine Months Ended September 30	
		2025	2024
Current ratio	Current assets over Current liabilities	0.75	1.47
Debt-to-equity ratio	Total liabilities over Total equity	0.70	0.63
Asset-to-equity ratio	Total Asets over Equity	1.70	1.63
Net income ratio	Net Income over Net Revenue	0.08	0.10

PHILEX MINING CORPORATION AND SUBSIDIARIES

SCHEDULE OF ACCOUNTS RECEIVABLE

As of September 30, 2025

(In Thousands)

Accounts receivable- Trade	P	429,214
Loans Receivable		47,796
Others		178,886
	P	**655,896**

AGING OF ACCOUNTS RECEIVABLE - TRADE

As of September 30, 2025

	0-30 days		31-60 days		Total	
HARTEE METALS LLC	P	188,406			P	188,406
IXM S.A				94,564		94,564
MRI TRADING AG				146,245		146,245
	P	**188,406**	**P**	**240,809**	**P**	**429,215**

PHILEX MINING CORPORATION AND SUBSIDIARIES

SCHEDULE OF LOANS AND BONDS PAYABLE

As of September 30, 2025

(In thousands)

Short-term loans payable	
Security Bank	753,402
Banco de Oro	1,043,172
Bank of the Philippine Islands	556,322
Philippine National Bank	347,724
	2,700,620
Current portion of long-term debt	
Philippine National Bank	933,059
Long-term liabilitites , net of current portion	
Bonds Payable	6,610,186
Bank Loans:	
Philippine National Bank	2,482,344
Bank of the Philippine Islands	851,586
Union Bank of the Philippines	1,703,172
PBCOM	851,586
Security Bank	1,362,538
	13,861,411
Less: Transaction Cost	(120,308)
	13,741,103
Total	**17,374,783**

1. Basis of Preparation, Statement of Compliance, Changes in Accounting Policies and Disclosures and Material Accounting Policy Information

Basis of Preparation

The unaudited consolidated financial statements of the Group have been prepared using the historical cost basis, except for mine products inventories that are measured at net realizable value (NRV), and for financial assets measured at fair value through other comprehensive income (FVOCI) and derivative financial instruments that are measured at fair value through profit or loss (FVTPL). The consolidated financial statements are presented in Philippine Peso, which is the Group's functional and presentation currency, rounded off to the nearest thousands, except when otherwise indicated.

Statement of Compliance

The unaudited consolidated financial statements of the Group have been prepared in accordance with accounting principles generally accepted in the Philippines. The Group prepared its consolidated financial statements in accordance with Philippine Financial Reporting Standards (PFRSs), except for the Parent Company's mine product inventories that are measured at NRV which was permitted by the Philippine SEC. The significant accounting policies followed by the Group are disclosed below.

Changes in Accounting Policies and Disclosures

The accounting policies adopted in the preparation of the unaudited interim condensed consolidated financial statements are consistent with those followed in the preparation of the Group's annual financial statements as at and for the year ended December 31, 2024.

The group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

2. Significant Judgments and Estimates and Assumptions

The preparation of the unaudited consolidated financial statements in accordance with accounting principles generally accepted in the Philippines requires the management of the Group to exercise judgment, make accounting estimates and use assumptions that affect the reported amounts of assets, liabilities, income and expenses, and disclosure of any contingent assets and contingent liabilities. Future events may occur which will cause the assumptions used in arriving at the accounting estimates to change. The effects of any change in accounting estimates are reflected in the consolidated financial statements as they become reasonably determinable.

Accounting assumptions, estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimations, which have the most significant effects on amounts recognized in the consolidated financial statements:

Determination of the Functional Currency

The Parent Company and most of its local subsidiaries based on the relevant economic substance of the underlying circumstances, have determined their functional currency to be the Philippine peso. It is the currency of the primary economic environment in which the Parent Company and most of its local subsidiaries primarily operates.

Estimates and Assumptions

The key assumptions concerning the future and other key sources of estimation uncertainties at the end of reporting period that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are as follows:

Measurement of Mine Products Revenue

Mine products revenue is provisionally priced until or unless these are settled at pre-agreed future or past dates referred to as "quotational period," the prevailing average prices at which time become the basis of the final price. Revenue on mine products is initially recognized based on shipment values calculated using the provisional metals prices, shipment weights and assays for metal content less deduction for insurance and smelting charges as marketing costs. The final shipment values are subsequently determined based on final weights and assays for metal content and prices during the applicable quotational period.

Measurement of NRV of Mine Products Inventory

The NRV of mine products inventory is the estimated sales value less costs to sell, which can be derived from such inventory based on its weight and assay for metal content, and the LME and LBMA for prices, which also represents an active market for the product. Changes in weight and assay for metal content as well as the applicable prices as the mine products inventory are eventually shipped and sold are accounted for and accordingly adjusted in revenue.

Valuation of Financial Instruments

The Group carries certain financial assets and financial liabilities (i.e., quoted and unquoted shares) at fair value, which requires the use of accounting estimates and judgment. While significant components of fair value measurement were determined using verifiable objective evidence (e.g., quoted equity prices), the amount of changes in fair value would differ if the Group utilized a different valuation methodology. Any change in fair value of these financial assets and financial liabilities is recognized in the consolidated statements of income and in the consolidated statements of comprehensive income.

Write-down of Carrying Values of Materials and Supplies Inventories
The Group carries material and supplies inventories at NRV when such value is lower than cost due to damage, physical deterioration, obsolescence or other causes. When it is evident that the NRV is lower than its cost based on physical appearance and condition of inventories, an allowance for inventory obsolescence is provided.

Impairment of Mine and Mining Properties
The Group assesses, at each reporting date, whether there is an indication that mine and mining properties may be impaired. If any indication exists, or when annual impairment testing for mine and mining properties is required, the Group estimates the mine and mining and properties' recoverable amount. An asset's recoverable amount is the higher of asset's fair value less costs of disposal and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. When the carrying amount of asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. Assessments require the use of estimates and assumptions such as future cash flows, discount rates, estimated ore reserves, forecasted metal prices, and production quantities. In assessing value in use, the estimated future cash flows are discounted to their present value using a suitable discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Estimation of Useful Lives of Property, Plant and Equipment
The Group estimates the useful lives of depreciable property, plant and equipment, except for mine and mining properties, based on internal technical evaluation and experience. These estimated useful lives are reviewed periodically and updated if expectations differ from previous estimates due to physical wear and tear, technical and commercial obsolescence, and other limits on the use of the assets. For mine and mining properties which were depreciated based on units-of production, the Group estimates and periodically reviews the remaining recoverable reserves to ensure that remaining reserves are reflective of the current condition of the mine and mining properties.

Estimation of Ore Reserves
Ore reserves were determined using various factors such as market price of metals and production costs among others. These are economically mineable reserves based on the current market condition and concentration of mineral resource. Reserves are key inputs to depletion, amortization and decommissioning provisions. On June 25, 2021, the Padcal Mine life has been extended for until December 31, 2024. Subsequently, on December 7, 2022, the life of Padcal Mine life has been extended for another three (3) years up to December 31, 2027. Further, on December 5, 2024, based on a completed study after recalibrating of the mining plan, the life of Padcal Mine is extended for another year from December 2027 to 2028.

Impairment of Deferred Exploration Costs
The Group reviews the carrying values of its deferred exploration costs whenever events or changes in circumstances indicate that their carrying values may exceed their estimated net recoverable amounts. The ability of the Group to recover its deferred exploration costs would depend on the commercial viability of the reserves and future plans of the prospective mine project.

An impairment loss is recognized when the carrying values of these assets are not recoverable and their historical cost exceeds their fair value.

Provisions for losses
The Group provides for present obligations (legal or constructive) where it is probable that there will be an outflow of resources embodying economic benefits that will be required to settle the said obligations. An estimate of the provision is based on known information at each end of the reporting period, net of any estimated amount that may be reimbursed to the Group. The amount of provision is being re-assessed at least on an annual basis to consider new relevant information.

Estimation of Retirement Costs
The cost of the defined benefit pension plan and the present value of the retirement benefit obligation are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and future pension increases. Due to the complexities involved in the valuation and its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions.

3. Segment Information

The Group is organized into business units on their products and activities and had two reportable business segments: the mining and metals segment, and the energy and hydrocarbon segment until July 15, 2016, when the deconsolidation of the energy and hydrocarbon took place.

Core net income (loss) is presented because the Group believes it is an important measure of its performance. Core income is the performance of business segments based on a measure of recurring profit. This measurement basis is determined as profit attributable to equity holders of the Parent Company excluding the effects of non- recurring items, net of their tax effects. Non-recurring items represent (losses) gains that, through occurrence or size, are not considered usual operating items, such as foreign exchange (losses) gains, (losses) gains on derivative instruments, (losses) gains on disposal of investments, and other non-recurring (losses) gains.

Core net income (loss) is not a uniform or legally defined financial measure. The Group relies primarily on the results in accordance with PFRSs and uses core net income (loss) only as supplementary information.

EBITDA is also not a uniform or legally defined financial measure. EBITDA is presented because the Group believes it is an important measure of its performance and liquidity. The Group relies primarily on the results in accordance with PFRSs and uses EBITDA only as supplementary information

The Group’s Core EBITDA for the nine months ended September 30, 2025 and 2024 amounted to ₱1,438,319 and ₱1,417,783, respectively

The following table shows the Group’s reconciliation of core net income to the consolidated net income for the nine months ended September 30, 2025 and 2024.

	YTD SEPTEMBER 30	
	2025	2024
Core Net Income	₱479,738	₱610,129
Non-Recurring gains (losses) :		
Foreign exchange gains (losses)	(38,140)	(15,894)
Reversal of prior year's provision	42,000	-
Reversal of deferred tax liabilitiy on last year's gain on modification of CN		31,258
Net tax effect on foreign exchange losses	(1,793)	10,538
Net income attributable fo parent company	481,805	636,031
Net income attributable to non-controlling interests	-	-
Net income	₱481,805	₱636,031

Core net income per share is computed as follows:

	2025	2024
Core net income	₱481,805	₱636,031
Divided by weighted average number of common shares outstanding	5,782,399,068	4,940,399,068
Core net income per share	₱0.083	₱0.106

4. Financial Risk Management Objectives and Policies and Hedging Activities

Financial Risks Management Objectives and Policies

The Group's principal financial instruments, other than derivatives, comprise mainly of cash and cash equivalents, accounts receivable, financial assets measured at FVOCI, short-term bank loan and accounts payable and accrued liabilities. The main purpose of these financial instruments is to provide financing for the Group's operations and capital-intensive projects.

The BOD is mainly responsible for the overall risk management and approval of the risk strategies and principles of the Group. The BOD has approved its formalized hedging policy in relation to entering into commodity derivatives in order to manage its financial performance.

Financial Risks

The main risks arising from the Group's financial instruments are credit and concentration risks, liquidity risk, and market risk. The market risk exposure of the Group can be further classified to foreign currency risk, cash flow interest rate risk, equity price risk, and commodity price risk. The BOD reviews and approves the policies for managing some of these risks and they are summarized as follows:

Credit and concentration risks

Credit risk is the risk where the Group could incur a loss if its counterparties fail to discharge their contractual obligations. To avoid such losses, the Group's primary credit risk management strategy is to trade only with recognized, creditworthy third parties.

Credit risk may also arise from the Group's other financial assets, which comprise of cash and cash equivalents. The Group's exposure to credit risk could arise from default of the counterparty, having a maximum exposure equal to the carrying amount of these instruments.

The table below summarizes the Group's exposure to credit risk for the components of the unaudited consolidated balance sheet as of September 30, 2025:

		September 30, 2025
Cash and cash equivalents		
Cash with banks	₱	697,164
Short-term deposits		494,365
Accounts receivable:		
Trade		429,214
Loans		47,796
Others		168,471
	₱	**1,837,010**

Credit quality of cash and cash equivalents and accounts receivable are based on the nature of the counterparty and the Group's evaluation process.

High-grade credit quality financial assets pertain to financial assets with insignificant risk of default based on historical experience.

Liquidity risk

Liquidity risk is the risk where the Group becomes unable to meet its obligations when they fall due under normal and stress circumstances. The Group's objective is to maintain a balance between continuity of funding and flexibility through the use of bank loans. The Group addresses liquidity concerns primarily through cash flows from operations and short-term borrowings, if necessary.

The table below summarizes the maturity profile of the Group's financial assets that can be used by the Group to manage its liquidity risk and the maturity profile of the Group's financial liabilities, based on contracted undiscounted repayment obligations (including interest) as of September 30, 2025:

	September 30, 2025					
	On Demand		Within 1 Year	More than 1 Year		Total
Other financial liabilities:						
Short-term loans payable						
Principal		₱	2,700,656		₱	2,700,656
Interest			18,269			18,269
Long-term debt						
Principal			933,059	12,291,226		13,224,285
Interest			124,582	956,329		1,080,911
Accounts payable and accrued liabilities			2,375,027			2,375,027
Dividends payable	115,395					115,395
Total undiscounted financial liabilities	**₱ 115,395**	**₱**	**6,151,594**	**13,247,555**	**₱**	**19,514,543**

Market risks

Foreign currency risk
Foreign currency risk is the risk where the value of the Group's financial instruments diminishes due to unfavorable changes in foreign exchange rates. The Parent Company's transactional currency exposures arise from sales in currencies other than its functional currency. All of the Parent Company's sales are denominated in US dollar. Further, the Group is exposed to foreign exchange risk arising from its US dollar-denominated cash and cash equivalents, trade receivables, short-term loans payable and long-term debt.

As the need arises, the Group enters into structured currency derivatives to cushion the effect of foreign currency fluctuations.

The following table summarizes the impact on the unaudited consolidated income before income tax of reasonable possible changes in the exchange rates of US Dollar against the Peso:

US$ Appreciate (Depreciate)	Effect on Consolidated Income before Income Tax
5%	(₱134,595)
(5 %)	134,595

Commodity price risk
The Parent Company's mine products revenues are based on international commodity quotations (i.e., primarily on the LME and London Bullion Market Association quotes) over which the Parent Company has no significant influence or control. This exposes the Group's results of operations to commodity price volatilities that may significantly impact its cash inflows.

The table below shows the effect on income before income tax should the change in the prices of copper and gold occur based on the inventory of the Parent Company as of September 30, 2025:

Change in Metal Prices		**Effect on Income before Income Tax**
Gold		
Increase by	15%	467,932
Decrease by		(467,932)
Copper		
Increase by	23%	788,858
Decrease by		(788,858)

5. Revenues

Adoption of PFRS 15 using modified retrospective approach as of September 30, 2025 and September 30, 2024:

	2025		
	Revenue from contracts with customers	Provisional pricing adjustments	Total Revenue
Gold	₱ 2,935,893	50,713	₱ 2,986,606
Copper	3,253,474	30,180	3,283,654
Silver	6,903	352	7,255
Total			**₱ 6,277,515**

	2024		
	Revenue from contracts with customers	Provisional pricing adjustments	Total Revenue
Gold	₱ 2,597,555	38	₱ 2,597,593
Copper	3,380,653	71,490	3,452,143
Silver	54,564	(5,606)	48,958
Total			**₱ 6,098,694**

All revenue from sale of gold, copper and silver are recognized at a point in time when control transfers.

6. Long-Term Debt

Syndicated Loans:
Silangan Mindanao Mining Co., Inc. made its initial drawdown from its syndicated loan facilities on June 3, 2024. Total amount drawn was Php5.831 billion, consisting of US$61.2 million from the U.S. Dollar Loan Facility and Php2.244 billion from the Peso Loan Facility. The syndicated loan facilities are with five local banks for a total of approximately US$170 million, comprising of US$102 million under the U.S. Dollar Loan Facility and Php3.740 billion under the Peso Loan Facility, payable on quarterly installment over eight years with three-year grace period from Financial Close. The U.S. Dollar Loan Facility is subject to a Floating Interest Rate with a tenor of three (3) months, while the Peso Loan Facility is subject to a Fixed Interest Rate with a tenor of five (5) years from Financial Close and the three (3) years from Reset Date until Final Maturity.

Bonds Payable:

In December 2022, Asia Link B.V. and SMECI agreed, with the consent of PMC, to a 3-year extension from the original maturity of the convertible note held by Asia Link B.V. from December 19, 2022 to December 18, 2025, the same which can be further extended for another 3 years, at 1.5 year intervals, at the sole option of SMECI and PMC. The extension was made in support of the fund-raising activities for the development of the Silangan Project of SMECI under its subsidiary, SMMCI. With respect to the convertible note held by SSS, the same was settled at maturity date, consistent with the agreement with the related equity conversion option classified as part of the Group's equity reserves.

In December 2024, the convertible note held by Asia Link B.V. was further extended for another 1.5 years from December 19, 2025 up to June 18, 2027.

Long-Term Debt:
In March 28, 2025, the Parent Company entered into a long-term loan facility with Philippine National Bank for an amount up to $30 million or its PHP equivalent. The term of this loan is up to (3) years from the date of initial drawdown. The interest rate is calculated based on benchmark rate drawn from US Treasuries and the 3-year Bloomberg Evaluated Pricing Service of Bloomberg LP (or BVAL) rate, with additional margin of 300 basis points (bps). Principal and interest are payable quarterly.

7. Basic/Diluted Earnings Per Share

Basic and diluted earnings per share as of September 30, 2025 and 2024 are computed as follows:

	2025	2024
Net income attributable to equity holders of the Parent Company	₱481,805	₱636,031
Divided by weighted average number of common shares outstanding during year	5,782,399,068	5,782,399,068
Basic earnings per share	₱0.083	₱0.110

8. Events After End of Reporting Period

There was no known event that will trigger direct or contingent financial obligation that is material to the Company other than those discussed in Part 1 of this report.